Futures, Currency & Commodity Trading

Part of The Complete Indian Market Trader — Zero to Professional (India, 2026)

Pro-grade, India-first: NSE/BSE, F&O, worked ₹ examples, current 2026 rules

Contents

Index & Stock Futures: Specs, Margin, Basis, Rollover

Why this matters

You already know options cold. Futures feel simpler — one linear instrument, no Greeks — and that simplicity is exactly the trap. A futures position is *pure leveraged delta*: a 1% move against a fully-margined Nifty future is not a 1% loss, it's roughly a 6-8% loss on your blocked margin. Retail traders treat one Nifty future like "a bit of index exposure" and get liquidated on a gap. The pro treats it as a financing-and-carry instrument: they know the basis, they know the roll cost, and they never carry a naked future through an event without sizing for the *notional*, not the margin. This chapter closes the gap between "I bought a future" and "I understand what I actually own."

The essentials

(Specs as of Jul 2026 — lot sizes are revised by NSE every few months to keep contract value near SEBI's ₹15-20L band; always verify the current lot on the NSE contract-specification page before trading. Rules change.)

Item	Nifty 50 Fut	Bank Nifty Fut	Stock Fut (e.g. RELIANCE)
Underlying	Nifty 50 index	Nifty Bank index	Single stock
Lot size (verify)	75	35	Stock-specific
Tick size	₹0.05	₹0.05	₹0.05
Expiry	Monthly, last Thu*	Monthly, last Thu*	Monthly, last Thu*
Settlement	Cash	Cash	Cash (physical for stock F&O since Oct-2019 — you take/give delivery if held to expiry)
Contracts live	3 (near/next/far month)	3	3

*NSE has been shifting weekly/monthly expiry days (Nifty monthly moved around Tue/Thu in 2024-25). **Confirm the exact expiry day on your broker's contract note.**

Margin. F&O margin = **SPAN + Exposure**, blocked upfront (SEBI peak-margin fully enforced since Sep-2021 — no "we'll collect later"). SPAN is the exchange's worst-case one-day loss model; Exposure is an extra buffer (~2-3% of notional). Total initial margin on an index future runs ~**12-15%** of contract value; a volatile stock future can be 20%+. That implies **~7x leverage** at most for index — not the 50x day-trading fantasy.

Mark-to-market (MTM). Every day the exchange settles your position to the daily settlement price. Gains are credited, losses are **debited from your ledger the same day**. If the debit takes your account below maintenance margin, you get a margin call and the broker can square you off. MTM is real cash flow, not a paper number.

Basis and cost of carry. Basis = **Futures − Spot**. In a normal market the future trades at a small *premium* to spot because of cost of carry:

> Fair Futures ≈ Spot × (1 + r × t/365) − Dividends

where r is the financing rate and t is days to expiry. As expiry approaches, basis decays toward zero (convergence). A future trading *below* spot (backwardation) usually signals heavy dividends, borrowing stress, or aggressive short-selling.

Open Interest (OI). OI = number of outstanding contracts. Rising price + rising OI = fresh longs (trend confirmation). Rising price + falling OI = short-covering (weaker). Read OI *with* price, never alone.

Worked example — MTM + rollover in rupees

Setup (illustrative). You go long **1 lot Nifty July future** at **24,000**, lot size **75**.

- Notional = 24,000 × 75 = **₹18,00,000**.
- Initial margin at ~13% ≈ **₹2,34,000** blocked.

Daily MTM:

Day	Settle	Move	MTM cash (₹)
Entry	24,000	—	—
Day 1	24,120	+120	+9,000 credited
Day 2	23,950	−170	−12,750 debited
Day 3	24,200	+250	+18,750 credited

Net after 3 days = +200 pts = **+₹15,000** on ₹2.34L margin ≈ **+6.4%** on capital from a **+0.83%** index move. That is leverage working *for* you — and it works identically against you.

The rollover (last week of July expiry). You want to keep the long into August. You don't "extend" — you **close July and open August** simultaneously (a calendar spread order to control slippage):

- July future = **24,180** (near expiry, basis nearly gone).
- August future = **24,255** (premium = cost of carry for the extra month).
- **Roll spread = 24,255 − 24,180 = 75 points.**

Rolling costs you **75 × 75 = ₹5,625** in spread, *plus* transaction costs on 2 legs. That 75-point premium is your annualised carry: 75 / 24,180 over ~30 days ≈ **0.31%/month ≈ 3.7% p.a.** — a sanity check that the roll is priced fairly and not distorted by a dividend or funding squeeze.

Costs on the July exit (sell side, per Budget-2026 STT effective 01-Apr-2026 — verify): - STT on futures ~0.05% on sell notional: 0.0005 × 18,13,500 ≈ **₹907**. - Plus brokerage (flat ~₹20/order at discount brokers), NSE txn charge, SEBI fee, stamp duty, and **18% GST on brokerage + txn**. Round-trip all-in on a Nifty future is typically **₹40-60 per lot** ex-STT — small vs notional, but it compounds if you overtrade.

How pros do it / common mistakes

Pros: - **Size on notional, not margin.** Risk is on ₹18L of Nifty, not ₹2.34L. One future ≈ ₹18,000 P&L per 1% move — decide if that fits your risk *before* entry. - **Watch the basis as a signal.** An unusually rich or negative basis tells you about funding, dividends, or one-sided positioning before price does. - **Roll early, not on**

expiry day. Liquidity is best 3-5 sessions before expiry; rolling on the last day means fat spreads and gamma-driven whipsaw. - **Track cumulative roll cost.** A long-term index long paying ~4% p.a. carry must beat that just to break even — often a reason to prefer the cash-market or an ETF for pure buy-and-hold.

Classic retail errors: - Confusing margin with risk ("I only put in ₹2.3L") — then a 2% gap wipes 15% of margin overnight via MTM debit. - **Forgetting physical settlement on stock futures.** Hold a stock future to expiry and you're obligated to give/take *full-value delivery* — a ₹18L cash obligation on a lot you meant to trade for ₹500. Square off or roll before expiry. - Ignoring MTM cash flow and getting an unexpected margin call mid-week. - Trading illiquid far-month or small-cap stock futures where the spread eats the edge. - Reading OI as a standalone buy/sell signal.

Checklist / drill

Before every futures entry: - ☐ Confirmed **current lot size** on NSE (they change). - ☐ Computed **notional** and my P&L per 1% move — does it fit my risk? - ☐ Checked **SPAN+Exposure** margin and that I have a **buffer for MTM debits**, not just entry margin. - ☐ Looked at **basis** (Fut−Spot) — normal premium, or a red flag? - ☐ Checked **OI + price** together for confirmation. - ☐ Set a stop in *points* and know the rupee loss it implies. - ☐ For **stock futures**: a hard reminder to square/roll before expiry to avoid physical delivery.

Drill: Paper-trade one full expiry cycle on one Nifty lot. Each evening, log the settlement price, the MTM cash, your running ledger, and the near-vs-next basis. In the last week, execute a simulated roll and record the exact spread cost in rupees and its annualised %. Do this once and futures mechanics stop being abstract.

Futures Trading Strategies

Why this matters

Most retail futures traders run exactly one strategy: leveraged directional punting on Bank Nifty, sized to margin, stopped out by noise. That is the single biggest reason the futures segment mirrors the grim SEBI stat — the large majority of individual F&O traders lose money net of costs. The pro's edge is not a better direction-guessing engine; it's owning a *portfolio* of futures structures — directional, calendar, pairs, and hedges — and choosing the one whose risk shape fits the setup. A pair trade doesn't care if the market crashes. A hedge lets you hold cash equity through a scare without selling. This chapter gives you the structures beyond "buy future, pray."

The essentials

(Specs/tax as of Jul 2026 — verify on NSE/broker/SEBI; rules change. F&O = non-speculative business income, FY2026-27; losses carry forward 8 years; ITR-3; tax audit u/s 44AB on turnover thresholds.)

1. Directional. Long or short a single future for a trend. Only edge vs options: no theta decay, symmetric payoff, cheaper to hold a strong trend. Cost: unlimited-shaped risk and daily MTM. Rule of thumb — use futures for *conviction trends you'll actively manage*, options for *defined-risk event bets*.

2. Calendar (horizontal) spread. Simultaneously long one expiry and short another of the *same* underlying (e.g. long August Nifty, short July Nifty). You're trading the **basis / carry**, not direction. Margin is heavily reduced (the exchange nets the two legs — often 70-90% margin benefit) because your net delta is small. You profit if the spread moves your way (widening/narrowing).

3. Pair (spread / relative-value) trade. Long one instrument, short a correlated other — two banks, two IT names, or a stock vs its index. You bet on *relative* performance and are largely **market-neutral**: a broad crash hurts your long but helps your short. Key discipline: match the **rupee notional** of both legs (beta-adjust), not the lot count.

4. Cash-futures hedge. You hold a cash-market portfolio and short index futures to neutralise market risk through an event (Budget, election result, Fed) without selling your stock (avoiding STCG, exit costs, and re-entry timing). Hedge ratio = (Portfolio value × Portfolio beta) / (Index future notional).

Worked example A — pair trade (HDFC Bank vs ICICI Bank)

(Illustrative numbers.) You judge **ICICI is outperforming HDFC Bank** and expect the gap to widen — but you don't want market direction risk.

- Short **HDFC Bank future** @ ₹1,600, lot 550 → notional 1,600 × 550 = **₹8,80,000**.
- Long **ICICI Bank future** @ ₹1,200, lot 700 → notional 1,200 × 700 = **₹8,40,000**.
- Notionals matched to ~₹8.5L each (adjust lots so legs balance; both bank betas ≈ 1, so no extra beta scaling needed here).

Outcome after 2 weeks — market flat, but ICICI outperforms: - ICICI → ₹1,260 (+5%): long gain = 60 × 700 = **+₹42,000**. - HDFC → ₹1,616 (+1%): short loss = 16 × 550 = **−₹8,800**. - **Net = +₹33,200**, from the *spread*, with minimal exposure to whether the Nifty rose or fell.

Why it's powerful: in a day the whole market drops 2%, both legs lose on the index move but the short *gains* offset most of the long's loss — your P&L still tracks the ICICI-minus-HDFC spread. Margin benefit applies too, since correlated offsetting positions attract lower net SPAN. **Risk:** correlation breaks (a HDFC-specific bad news event moves it *against* your thesis on the wrong leg) — pairs are not risk-free, they swap market risk for *relative* risk.

Worked example B — calendar spread (Nifty carry)

You think July-August Nifty spread of **75 points is too wide** and will compress as month-end funding eases.

- Sell August Nifty @ 24,255, Buy July Nifty @ 24,180 → **spread = 75**, lot 75.
- Because legs offset, margin might be only **~₹40,000-60,000** vs ~₹2.3L for a naked lot.
- Spread narrows to **55**: gain = (75 − 55) × 75 = **+₹1,500** on ~₹50,000 margin ≈ **3%**, with near-zero directional exposure. If it widens to 95 you lose ₹1,500. Small, high-probability, capital-light — the pro's bread-and-butter, run in size across cycles.

Worked example C — hedging cash with futures

You hold a **₹20,00,000** equity portfolio, beta **1.1**, and want to sit out the Budget-day gap.

- Exposure to hedge = 20,00,000 × 1.1 = **₹22,00,000**.
- One Nifty future notional (24,000 × 75) = **₹18,00,000**.
- Hedge ratio = 22,00,000 / 18,00,000 ≈ **1.2 lots** → short **1 lot** (accept slight under-hedge) or use a smaller-notional contract if available.
- If Nifty falls 3% post-Budget, portfolio loses ~₹66,000 (3% × 1.1 × 20L); the short future gains ~3% × 18L = **~₹54,000**, cutting the net hit to ~₹12,000 instead of ₹66,000 — and you kept every share, avoiding STCG and re-entry risk.

How pros do it / common mistakes

Pros: - Match **notional/beta**, not lot counts, on pairs and hedges. - Prefer **spreads and pairs** in choppy/rich-vol regimes — they harvest edge without needing a directional call, and enjoy margin netting. - Treat **leverage as a dial, not a default** — size directional futures so a normal 1.5-2% adverse day is a survivable, pre-decided rupee loss. - **Log the spread, not the legs.** Manage a pair by its spread chart; exit on spread targets/stops.

Classic retail errors: - Running a "pair" with mismatched notionals — it's just a disguised directional bet. - Legging in one side and never completing the hedge (naked risk while you "wait for a better price"). - Ignoring that a broad crash can hit *both* pair legs if correlation regime-shifts. - Forgetting the tax bucket: F&O is **non-speculative business income** — keep clean books, spreads generate many trades and turnover adds up fast toward the audit threshold. - Over-hedging into a *negative* directional bet by accident (shorting more index than portfolio exposure).

Checklist / drill

Before any multi-leg or hedge: - ☐ Both legs' **rupee notional** computed and matched (beta-adjusted). - ☐ Entered as a **spread/2-leg order** where possible to control slippage. - ☐ Defined the trade in terms of the **spread** (target + stop), not the individual legs. - ☐ Confirmed **margin benefit** actually applied (check blocked margin). - ☐ For hedges: hedge ratio computed, and I know the **residual risk** left unhedged. - ☐ Correlation/thesis sanity-checked — what news breaks this pair?

Drill: Pick two correlated Nifty stocks. On paper, size a notional-matched pair and track the *spread* daily for 10 sessions alongside the Nifty. Note how often the spread P&L is independent of index direction — that felt experience of market-neutrality is the whole point.

Currency Derivatives (USDINR & Cross Pairs)

Why this matters

Almost every retail F&O trader ignores the currency segment, then wonders why their imported-input stock, their IT exporter, or their gold trade moved "for no reason." The reason was usually USDINR. Currency derivatives are the cleanest, most macro-driven market on NSE — no company-specific noise, tight spreads, small lot sizes (₹1,000 per lot notional-per-point is tiny), and the rupee's slow, trending, RBI-managed behaviour makes it a distinct skill from index scalping. The pro uses currency futures for two things: a low-cost macro expression (view on the dollar, crude, or flows) and a genuine hedge for real forex exposure. This chapter covers what the options/TA books never touch — the FX-specific mechanics and drivers.

The essentials

(As of Jul 2026 — verify on NSE currency-derivatives page/SEBI/RBI; rules change.)

Pairs & specs. NSE offers futures and options on **USDINR, EURINR, GBPINR, JPYINR**, plus USD cross-pairs (EURUSD, GBPUSD, USDJPY).

Item	USDINR future
Lot size	**USD 1,000**
Quotation	₹ per 1 USD (e.g. 83.50)
Tick size	**₹0.0025** (0.25 paise) → **₹2.50 per tick per lot**
1 paisa move (₹0.01)	= **₹10 per lot**
Expiry	Monthly (+ some weekly); last **~2 working days before month-end**
Trading hours	**9:00 – 17:00** (note: longer than equity's 9:15-15:30)
Settlement	**Cash-settled in ₹**, referenced to the RBI reference rate

Key contrasts with equity F&O: - **Hours run to 5:00 pm** — currency keeps trading after the cash equity close, catching afternoon global cues. - **Notional per lot is small** (USD 1,000 ≈ ₹83,500), so margins are a few thousand rupees — accessible, but don't over-lot to "make it interesting." - **Purpose-restriction, historically:** SEBI/RBI have periodically required an **underlying exposure** for positions beyond a threshold (the "no naked FX beyond USD limit" rules of 2024). **Check the current per-client limit and any underlying-exposure declaration requirement with your broker before scaling up** — this rule has been tightened and loosened repeatedly.

What drives INR: - **RBI action** — the RBI actively smooths the rupee via spot/forward intervention; INR trends more than it whips. Expect managed, one-directional drifts, not equity-style volatility. - **Crude oil** — India imports ~85% of its crude; higher Brent = wider trade deficit = **rupee weakness** (USDINR up). - **FII/FPI flows** — foreign buying of Indian equities/bonds brings dollars in → rupee strength; outflows → weakness. Watch the daily FII cash figure. - **DXY (US Dollar Index)** — global dollar strength (Fed hikes, risk-off) lifts USDINR. - **US-India rate differential & inflation** — structurally, higher Indian inflation implies gradual rupee depreciation over years (why USDINR trends up over the long run).

Worked example — a USDINR trade

(Illustrative.) Brent has jumped from $78 to $88 and the Fed just signalled higher-for-longer (DXY rising). Both point to **rupee weakness** → you go **long USDINR**.

- Buy **10 lots USDINR July future @ 83.50**. Lot = USD 1,000 → notional = 10 × 1,000 × 83.50 = **₹8,35,000**.
- Margin at ~2-3% ≈ **₹20,000-25,000** blocked.
- **Move:** rupee weakens to **84.00** over two weeks (+0.50, i.e. +50 paise).
- P&L = 0.50 × 10 lots × (₹10 per paisa... careful) → per lot, ₹0.50 move = 50 paise × ₹10/paisa = **₹500/lot**; ×10 = **₹5,000**. Wait — recompute cleanly: ₹1 move on 1 lot = 1,000 USD × ₹1 = ₹1,000. A ₹0.50 move = **₹500/lot**; ×10 lots = **+₹5,000** on ~₹22,000 margin ≈ **+22%**.

Costs are low: no STT on currency derivatives (currency is outside the equity STT regime — verify), just brokerage + exchange txn + SEBI fee + **18% GST** + stamp duty. Round-trip on 10 lots is typically **under ₹100** — one of the cheapest segments on NSE.

As a hedge instead: a small exporter expecting **USD 10,000** in 60 days fears the rupee *strengthening* (fewer rupees per dollar). They **sell 10 USDINR futures @ 83.50**, locking the rate. If USDINR falls to 82.50, their export receipt is worth ₹10,000 less per rupee move... the future gains ₹1 × 10 lots × 1,000 = **+₹10,000**, offsetting the lower conversion. Risk removed for a few thousand in margin.

How pros do it / common mistakes

Pros: - **Trade the macro thesis, not the tick.** USDINR moves in slow, RBI-managed trends — swing/positional horizons fit far better than 1-minute scalps. - **Cross-check three drivers** (crude, DXY, FII flow) before a directional bet; when all three align, conviction is high. - **Respect intervention.** When USDINR approaches a level the RBI has been defending, expect a wall — don't fight the central bank into a round number. - **Use the extra hours** (till 5 pm) to react to European-session and afternoon crude moves the equity crowd misses. - Use currency futures to **hedge real exposure** (foreign fees, remittances, export receipts) — the intended, low-cost use.

Classic retail errors: - Over-lotting because margins are tiny — small notional per lot tempts 50+ lots and turns a calm market into a big P&L swing. - Trading USDINR like Bank Nifty — expecting 1% intraday whips that rarely come in a managed currency. - Ignoring the **underlying-exposure / position-limit rules** and getting positions restricted or flagged. - Forgetting that a *strong* equity rally (FII inflows) often means USDINR *drifts down* — currency and equity views must be consistent.

Checklist / drill

Before a currency trade: - ☐ Thesis names the **driver**: crude, DXY, FII flow, RBI, or rate differential. - ☐ Checked all three of **crude / DXY / FII** for alignment or conflict. - ☐ Confirmed **current lot size, tick value (₹10/paisa/lot)**, and margin. - ☐ Sized so a normal move is a **pre-decided rupee risk** — resisted over-lotting. - ☐ Checked **position limit / underlying-exposure** requirement with broker. - ☐ Noted **RBI intervention zones** near round numbers. - ☐ For a hedge: matched lots to actual **USD exposure** and the timeframe.

Drill: For 10 trading days, each morning log Brent, DXY, and the prior day's FII cash figure, then predict USDINR's direction for the day and mark it against the close. You'll quickly learn which driver is dominant in the current regime — that's the real skill in FX.

Commodity Trading on MCX

Why this matters

MCX is where Indian traders get access to gold, silver, crude oil, natural gas, and base metals — the assets that actually drive inflation, the rupee, and half the stock market's sector moves. Retail traders wander in chasing crude oil's famous intraday swings, discover the contracts run till **11:30 pm / 11:55 pm**, get caught in an overnight Comex gap or an EIA inventory spike, and blow up. The pro understands three things the newcomer doesn't: MCX prices are **imported** (they track Comex/Brent/LME converted through USDINR, not some independent Indian view), each commodity has its own **seasonality and event calendar**, and the leverage plus long hours make position-sizing and *when you're at the screen* matter more than direction. This chapter is the India-specific commodity mechanics the options and TA books skip.

The essentials

(Specs as of Jul 2026 — MCX revises lot sizes and launches "mini" contracts periodically; verify current specs on mcxindia.com before trading. Rules change.)

Commodity	Contract	Lot / unit	₹ per ₹1 tick move (approx)	Global linkage
Gold	Gold (1 kg)	1 kg → **₹100/point per 10g quote… per ₹1 = ₹100 (per 10g)**	₹100 per ₹1 (per 10g)	Comex gold, USD, USDINR
Gold Mini	100 g	100 g	₹10 per ₹1	Comex gold
Silver	Silver (30 kg)	30 kg	₹30 per ₹1 (per kg)	Comex silver
Silver Mini	5 kg	5 kg	₹5 per ₹1	Comex silver
Crude Oil	100 barrels	100 bbl	**₹100 per ₹1**	Nymex WTI / Brent
Crude Mini	10 barrels	10 bbl	₹10 per ₹1	WTI
Natural Gas	1,250 mmBtu	1,250	**₹1,250 per ₹1**	Nymex Henry Hub
Copper	2,500 kg	2,500	₹2,500 per ₹1	LME copper

Key India-specific facts: - **Timings:** MCX trades **9:00 am – 11:30 pm** (11:55 pm on US daylight-saving evenings). The big moves come *after* the equity close, on Comex/Nymex cues and US data (EIA crude/gas inventories Wed/Thu night). If you can't watch the evening session, don't hold naked overnight. - **Settlement:** most are **cash-settled**, but some (like the 1kg gold, base metals) have moved to **physical/compulsory delivery** near expiry — **check whether your contract is deliverable and exit before the delivery/tender period** to avoid delivery obligations and warehouse costs. - **Margins:** SPAN + Exposure, upfront, peak-margin enforced. Crude and natural gas carry the **highest margins** (they're the most volatile — nat gas can move 5-10% in a session). - **CTT (Commodities Transaction Tax): ~0.01% on the sell side** of non-agri commodity futures (per current schedule; verify — the 2026 Budget schedule applies from 01-Apr-2026). Agri commodities are CTT-exempt. - **Prices are imported.** MCX gold ≈ Comex gold

(USD/oz) × conversion × USDINR + duties. So an MCX gold trade is *implicitly* also a USDINR trade — a falling rupee can lift MCX gold even when Comex is flat.

Drivers & seasonality: - **Gold/Silver:** US real yields, DXY, Fed policy, risk-off/geopolitics, and the rupee. Indian festive/wedding demand (Oct-Dec, Akshaya Tritiya) adds a domestic bid. - **Crude:** OPEC+ decisions, US inventories (EIA Wednesday night), geopolitics, demand data. Notoriously event-driven and gappy. - **Natural gas:** *the* seasonal contract — winter heating demand and hurricane-season supply scares make it the most volatile MCX product. Treat with respect. - **Base metals (copper/zinc/lead):** China demand and LME, global growth cycle.

Worked example — an MCX crude oil trade

(Illustrative.) It's an EIA-inventory Wednesday. Draws (falling stockpiles) plus an OPEC+ supply-cut headline point higher. You go **long 1 lot MCX Crude Oil** (100 barrels).

- Entry **₹6,500** per barrel (MCX quotes in ₹/bbl). Notional = 6,500 × 100 = **₹6,50,000**.
- Margin ~**₹65,000-80,000** (crude carries high margin).
- 9:00 pm: EIA prints a large draw; WTI jumps ~2%. MCX crude → **₹6,630** (+₹130).
- P&L = 130 × 100 = **+₹13,000** on ~₹75,000 margin ≈ **+17%** in one evening.

But the mirror risk: had inventories *built*, a ₹130 fall = **−₹13,000**, and a violent whipsaw around the 8:30 pm release could hit both your stop and its reversal. **This is why crude is a screen-time trade, not a set-and-forget.**

Worked example — a gold trade (with the hidden FX leg)

You expect a Fed rate cut → gold up. Buy **1 lot Gold Mini (100g) @ ₹72,000** (per 10g quote). Notional ≈ 72,000 × 10 = **₹7,20,000**; ₹1 move (per 10g) = ₹10/lot.

- Comex gold rises 1.5% *and* the rupee weakens 0.4% → MCX gold rises ~1.9% to **₹73,370** (+₹1,370).
- P&L = 1,370 × 10 = **+₹13,700**. Note the extra 0.4% came *purely from USDINR* — proof that MCX gold is a gold-plus-rupee trade. If the rupee had *strengthened*, part of your Comex gain would have vanished.

Costs: brokerage + exchange txn + **CTT ~0.01% on sell** + **18% GST** + stamp. On a ₹7L gold lot, CTT on exit ≈ ₹72; all-in round-trip typically **₹100-200** — modest vs notional.

How pros do it / common mistakes

Pros: - **Trade the global anchor.** They watch Comex/Brent/LME and DXY live — MCX is the *follower*. Trading MCX in isolation is trading yesterday's news. - **Separate the two legs on gold/silver:** is the move metal (Comex) or rupee (USDINR)? It changes the exit. - **Respect the evening event calendar:** EIA (Wed night crude, Thu night gas), OPEC+ meetings, Fed decisions, US jobs data. They flatten or size down into these. - **Size for the highest-vol product's worst day** — nat gas and crude can gap through stops overnight; use smaller lots or the **mini contracts** to control risk. - **Exit before the delivery/tender window** on deliverable contracts.

Classic retail errors: - Holding crude/nat gas naked overnight and eating a Comex gap they never saw. - Treating MCX gold as independent of the rupee. - Over-leveraging the tiny-looking tick value on nat gas (₹1,250 per ₹1!) — a ₹10 move is ₹12,500 per lot. - Ignoring the **physical-delivery** shift near expiry on gold/metals. - Trading during the illiquid early-morning session instead of the liquid evening overlap with US markets.

Checklist / drill

Before an MCX trade: - ☐ Checked the **global anchor** (Comex/Brent/LME) and **DXY** direction right now. - ☐ For gold/silver: identified whether the driver is **metal or rupee**. - ☐ Confirmed **current lot size and ₹-per-tick** (used a **mini** contract if sizing down). - ☐ Checked the **evening event calendar** (EIA, OPEC+, Fed, jobs) — am I holding into a release? - ☐ Confirmed I'll be **at the screen for the volatile evening session** if holding. - ☐ Verified the contract's **cash vs physical settlement** and the delivery/tender date. - ☐ Sized for the product's **worst realistic day**, not its average.

Drill: For two weeks, each evening log MCX crude/gold, its Comex/WTI reference, USDINR, and any scheduled data. Predict the next session's MCX open from the overnight global move and score yourself. You'll internalise that MCX is an *imported* price — the single most important mental model for trading it well.

Open Interest & Rollover Analysis Across F&O

Why this matters

Price tells you *what* happened. Open interest (OI) tells you *how much money committed to it* and whether that commitment is fresh, being reinforced, or running for the exit. This is the retail-vs-pro gap in derivatives: retail traders stare at candles alone; pros read price *and* OI together, plus the once-a-month rollover ritual that reveals where the smart money is positioning for next month. You already know Greeks and strategies from your options book — this chapter is about the *positioning tape* that sits underneath the whole F&O market, and it is India-specific because our monthly expiry (last Thursday) and rollover cycle create a rhythm you can trade around.

Honest caveat: OI is a lagging, aggregate number. It is a *confirmation and context* tool, not a crystal ball. Anyone selling you "OI = guaranteed direction" is selling you a story.

The essentials

Open interest = total number of outstanding (not-yet-closed) contracts. It rises when a *new* buyer and a *new* seller create a contract; it falls when existing holders close. Volume counts trades; OI counts live positions. Both matter.

The four canonical OI read-ups combine the direction of **price** and the direction of **OI** in the *futures*:

Price	OI	Interpretation	Who is aggressive
Up	Up	**Long build-up**	Fresh longs, bullish
Down	Up	**Short build-up**	Fresh shorts, bearish
Up	Down	**Short covering**	Shorts exiting (weaker up-move)
Down	Down	**Long unwinding**	Longs exiting (weaker down-move)

Key nuance pros insist on: build-up (OI rising) is *conviction*; unwinding/covering (OI falling) is *position closing*. A rally on short-covering is less trustworthy than a rally on long build-up because covering is finite — once shorts are out, the fuel is gone.

PCR (Put-Call Ratio) = total put OI ÷ total call OI (OI-based is standard; a volume-based version also exists). Rough Indian rules of thumb (Nifty): PCR ~0.7–1.0 is neutral; >1.3 crowd is heavily put-heavy (often read as *support* / contrarian-bullish); <0.6 call-heavy (froth / contrarian-bearish). Treat it as sentiment temperature, not a signal on its own.

Option OI as S/R: the strike with the highest *call* OI acts as a resistance/ceiling; highest *put* OI acts as support. **Max-pain** is the strike at which the *maximum number of option buyers lose* (i.e., total option-holder payout is minimised); price is often said to drift toward it near expiry. It's a weak, expiry-day tendency — useful as context, not a trade trigger.

Rollover happens in the last week before expiry: traders move positions from the near month to the next month. Two numbers matter, published by NSE and brokers: - **Rollover %** = positions rolled to next month ÷ total near-month positions expiring. High roll % (e.g., Nifty > ~75–80%, stock > 3-month average) = strong conviction to carry the trade forward. - **Rollover cost / spread** = (next-month price − near-month price), often annualised. A rising positive spread on a stock alongside high roll % = bullish carry (people paying up to stay long).

All figures below are illustrative for method; **verify live OI, PCR, roll % on NSE (nseindia.com) / your broker — rules and lot sizes change.**

Worked example — reading Bank Nifty futures OI

Assume Bank Nifty futures lot size **15** (verify on NSE — lot sizes are revised periodically). Over a session:

Time	Fut price	Fut OI	Δ Price	Δ OI	Read
9:20	51,000	22.0 L	—	—	base
11:00	51,350	23.6 L	+350	+7.3%	**Long build-up** — fresh bullish money
13:00	51,180	23.9 L	−170	+1.3%	Mild **short build-up** on the dip
15:00	51,520	22.8 L	+340	−4.6%	**Short covering** — shorts trapped, squeezed out

Story: bulls committed in the morning (build-up), bears tried the midday dip (small short build-up), and the late rally was those trapped bears *covering* — a squeeze, not fresh buying. A pro treats the 15:00 pop with suspicion: covering rallies fade once shorts are flat.

Now overlay options for expiry-week context: highest call OI at 52,000 (ceiling), highest put OI at 51,000 (floor), PCR 1.15 (mildly supportive), max-pain 51,300. Bias: range 51,000–52,000, gravity near 51,300. One rupee = one index point; a 500-point favourable move on one lot = 500 × 15 = **₹7,500** gross, before costs.

Cost reality on that Bank Nifty futures lot (~₹51,000 × 15 = ₹7.65 L notional): STT ~0.05% on sell side only (from 01-Apr-2026) ≈ ₹383 on exit; plus brokerage (often flat ₹20/order), exchange txn, SEBI fee, stamp duty, and 18% GST on brokerage+txn. Round-trip friction is small vs a big move but lethal on churned, low-conviction "OI scalps." **Verify current STT/charges on your broker's contract note.**

How pros do it / common mistakes

How pros do it - Read futures OI *with* price for the *underlying*, then confirm with cash-market volume — never OI in isolation. - Weight **build-up over unwinding**: a trend backed by rising OI is more durable than one on covering. - Use rollover week as a *conviction gauge*: high roll % + positive spread + long build-up = carry the direction; poor rolls = the trade is being abandoned. - Track *changes* intraday and day-over-day, not absolute OI — the delta is the signal. - Cross-check stock-specific OI against **95% of market-wide** F&O ban-period rules: a stock crossing 95% of market-wide position limit hits an **F&O ban** (only position-reduction allowed) — a huge tell of over-crowding. **Verify ban list daily on NSE.**

Common retail mistakes - Treating max-pain as a price *target* days before expiry (it's a weak expiry-day tendency). - Reading option OI at a strike as immovable S/R — writers roll and adjust constantly. - Confusing high volume with high OI (a strike can be heavily *traded* yet net-flat in OI). - Chasing a short-covering rally as if it were fresh demand. - Using PCR as a standalone buy/sell trigger. - Ignoring costs while scalping OI shifts — friction eats the small edge.

Checklist / drill

Before acting on OI, tick all five:

1. **Direction of underlying price** this session and vs yesterday's close?
2. **Direction of futures OI** — build-up or unwinding? (Map to the 4-box table.)
3. **Options context** — highest call/put OI strikes, PCR, max-pain: does it agree?
4. **Rollover week?** If yes, note roll % vs average and the spread — conviction rising or fading?
5. **Crowding/ban check** — is the stock near F&O ban? Is the move covering (finite) or fresh (durable)?

Drill (2 weeks): Each evening, log Nifty & Bank Nifty futures closing price, OI, and PCR in a sheet. Tag each day with one of the four labels. On the following day, note whether the label "worked." You'll quickly learn that build-up days trend and covering days chop — and that OI is context, never a stand-alone signal.

Rules, STT, lot sizes and margins current as of 2026 — always re-verify on NSE/your broker/SEBI before trading.

Hedging a Portfolio with Futures & Options

Why this matters

Most retail investors have exactly one risk management tool: sell everything in a panic — usually near the bottom, crystallising the loss and triggering tax. Pros don't liquidate a carefully built portfolio to survive a three-week drawdown; they *hedge* it, hold the underlying, and remove the hedge when the storm passes. You already know option pricing and Greeks. This chapter is about the *portfolio-level* application: how to translate a ₹-lakh equity book into the right number of Nifty futures or put contracts using **beta**, and — the part nobody tells retail — *when the hedge is worth its cost and when it quietly bleeds you*.

Honest truth: hedging is insurance. Insurance has a premium. Over-hedging a long-term portfolio is one of the most reliable ways to underperform a simple buy-and-hold — because you pay the premium every cycle but the crash only comes occasionally.

The essentials

Beta (β) measures how much a stock/portfolio moves relative to the index (Nifty 50). β = 1.2 means the stock tends to move 1.2× the Nifty. Your **portfolio beta** = weighted average of holdings' betas.

Beta-hedge (index futures). To neutralise market risk you short index futures worth:

> Hedge notional = Portfolio value × Portfolio beta

Number of lots = Hedge notional ÷ (Index level × lot size). A full hedge (β-neutral) removes *systematic* (market) risk but leaves *stock-specific* risk. Shorting futures caps your downside **and your upside** — it's a symmetric trade.

Protective put. Buy a put on the index (or stock) as a floor. Downside is limited to (strike − premium); upside is uncapped. Cost = the premium, which you lose if nothing crashes. This is true insurance — asymmetric.

Collar. Buy a protective put *and* sell a call above the market to finance the put. Near-zero net premium, but you cap upside at the call strike. Popular for holding a concentrated position through an event.

Delta-hedge (concept). Instead of a static hedge, offset the *delta* of your position and re-adjust as price moves (dynamic). Pros running options books do this continuously; for a cash portfolio it's usually overkill — a static beta-hedge is enough.

When to hedge (India specifics): - Around a known binary event — Union Budget (Feb 1), RBI MPC, general election results, US Fed, large earnings. - When you want to defer capital gains: hedging lets you hold the underlying (no sale, no STCG/LTCG trigger) while protecting value. - **Tax note (FY2026-27):** F&O gains/losses are **non-speculative business income** (set-off flexible, loss carried forward 8 years), taxed at slab; equity delivery gains are STCG/LTCG. The hedge P&L and the portfolio P&L therefore sit in *different tax heads* — plan for it. Costs on the hedge: STT ~0.05% on futures sell, ~0.15% on option premium (sell), plus brokerage/GST/stamp. **Verify on NSE/broker — rules change (STT figures effective 01-Apr-2026).**

Worked example — hedging a ₹25 lakh equity portfolio

Portfolio value **₹25,00,000**, weighted **beta 1.2**. Nifty at **24,000**, futures lot size **75** (verify on NSE — revised periodically).

Step 1 — hedge notional: ₹25,00,000 × 1.2 = **₹30,00,000** of Nifty exposure to short.

Step 2 — lots: one lot notional = 24,000 × 75 = ₹18,00,000. Lots needed = 30,00,000 ÷ 18,00,000 = **1.67 → 2 lots** (round to nearest; 2 lots = ₹36 L, slightly over-hedged; 1 lot leaves you under-hedged — pros pick per conviction).

Test the hedge (Nifty falls 5%): - Portfolio (β 1.2) drops ≈ 5% × 1.2 = 6% → **−₹1,50,000**. - Short 2 lots gains 5% × ₹36,00,000 = **+₹1,80,000** (gross). - Net ≈ **+₹30,000** — the over-hedge (2 vs 1.67 lots) even turned a small profit. A 1.67-lot ideal hedge would net ≈ 0.

Cost of holding the futures short: STT on exit ~0.05% of ₹36 L sell ≈ ₹1,800, plus brokerage (~₹20/lot), exchange/SEBI/stamp and 18% GST — call it a few hundred to ~₹2,000 round trip. Cheap relative to the ₹1.5 L protected.

Alternative — protective put: Buy 2 lots of the 24,000 put. Say premium **₹250/unit** → 250 × 75 × 2 = **₹37,500** premium. If Nifty *rises* instead, you keep 100% of the portfolio upside and lose only the ₹37,500 — the futures short would have surrendered that entire upside. That asymmetry is why you pay for puts before *uncertain, skewed* risk (Budget) and use futures for *pure directional* de-risking.

Collar: buy the 24,000 put (₹250), sell the 24,600 call (~₹150) → net premium 100 × 75 × 2 = **₹15,000**, but upside capped at 24,600. Cheapest protection, sacrifices some upside.

How pros do it / common mistakes

How pros do it - Compute portfolio beta honestly (don't assume 1.0); a small/mid-cap-heavy book can be β 1.4–1.6, so a "full" hedge needs *more* index notional than portfolio value. - Match the tool to the risk: **futures** for cheap, symmetric de-risking of directional exposure; **puts** for asymmetric event protection where they want to keep upside; **collars** when premium budget is tight. - Hedge *tactically and time-boxed* — put it on before an identified event, take it off after. They do not carry a permanent hedge on a long-term compounding portfolio. - Track **basis risk**: an index hedge won't perfectly offset a stock-specific book; residual (idiosyncratic) risk remains. - Roll the hedge before expiry (last Thursday) if the reason to hedge persists.

Common mistakes - Permanently hedging a long-term SIP-style portfolio and wondering why returns lag the index — you're paying insurance forever. - Ignoring beta and hedging ₹-for-₹ (a β 1.4 book is under-hedged if you match only portfolio value). - Buying deep OTM puts that "feel cheap" but never pay out. - Forgetting the hedge is in a *different tax head* and mismatched settlement/margin. - Under-margining the short and getting an MTM/peak-margin penalty call at the worst moment.

Checklist / drill

Before placing a hedge:

1. **Portfolio value** and **weighted beta** — computed, not guessed?
2. **What am I hedging?** Broad market fall (→ futures) or an event with upside I want to keep (→ put/collar)?
3. **Notional & lots:** value × beta ÷ (index × lot size) — rounded which way, and why?

4. **Cost:** premium or STT/charges tallied — is protection worth it vs the risk?
5. **Exit plan & margin:** when do I remove the hedge, do I have SPAN+Exposure margin, and when is expiry?

Drill: Take your real (or a mock ₹10 L) holding, look up each stock's beta, compute portfolio beta and the exact Nifty-futures lots for a full hedge. Then re-price it as a protective put and as a collar. Compare the three payoffs for a −7%, 0%, and +7% Nifty move. You'll internalise *when* each is the right instrument.

STT, lot sizes, margins and tax treatment current as of 2026 — re-verify on NSE / your broker / SEBI before trading; rules change.

Cross-Asset & Inter-Market Analysis

Why this matters

Retail traders watch Nifty in a vacuum, as if the Indian equity index were an island. It isn't. Nifty at 9:15 is largely *pre-decided* by what happened overnight in the US, in crude, in the dollar, and in bond yields. The pro edge here isn't a secret indicator — it's *situational awareness*: knowing before the open whether the world woke up **risk-on** (buy equities, sell safe havens) or **risk-off** (dump equities, buy dollar/gold/bonds), and letting that set the day's *bias*. Your options and TA books teach you to trade a chart; this chapter teaches you to read the *weather system* the chart sits inside.

Honest limits: inter-market correlations are *regimes*, not laws. They shift, sometimes invert, and break in a crisis (in a real panic, *everything* except cash and the dollar can fall together). Use them for bias and context — never as a mechanical signal.

The essentials

The core Indian cross-asset web (typical, regime-dependent relationships):

Asset	Usual link to Nifty	Why
US markets (S&P 500 / Nasdaq)	Positive, leads	Global risk sentiment; FIIs allocate globally; sets our gap
SGX/GIFT Nifty	Direct lead	Offshore Nifty trades before our open — signals the gap
USDINR	Inverse	Weak rupee → FII outflows, imported inflation → equity headwind
Brent crude	Inverse (India imports ~85% of oil)	High crude → CAD/inflation pressure; hurts OMCs, paints, aviation
Gold (MCX / COMEX)	Mild inverse / safe-haven	Rises in risk-off, when equities wobble
US 10-yr Treasury yield	Inverse (esp. for growth/IT)	Higher global yields → costlier capital, FII rotation out of EM
India 10-yr G-sec yield	Inverse	Rising domestic yields pressure rate-sensitives
Dollar Index (DXY)	Inverse to EM equities	Strong dollar drains EM flows

Risk-on signature: US indices up, DXY down, crude *firm* on demand, gold soft, yields calm, USDINR stable/strong → constructive Nifty bias. **Risk-off signature:** US down, DXY up, gold up, US yields spiking, USDINR weakening → defensive Nifty bias; expect gaps down and IT/rate-sensitive weakness.

FII/DII flows are the transmission mechanism — track daily FII cash & F&O figures (NSE/exchange). Sustained FII selling + weak rupee is a classic drag; DII buying often cushions it.

Global calendar (mark these — they move everything): US **Fed FOMC** (~8 times/yr), US **CPI/NFP** (monthly), **RBI MPC** (bi-monthly), Union **Budget (Feb 1)**, **US 10-yr auctions**, OPEC decisions, India **CPI/IIP**. On these dates, cross-asset moves dominate technicals. **Verify exact dates on RBI, Fed, and MoSPI calendars — they change.**

All relationships as of 2026 and regime-dependent; verify current correlations yourself — they shift.

Worked example — reading the tape before a Nifty open

It's a July 2026 morning. Pre-open scan:

Signal	Overnight reading	Bias contribution
S&P 500	−1.4%	Negative
Nasdaq	−2.1% (tech-led)	Negative — hits Indian IT
GIFT Nifty	24,050 vs prev close 24,300	Gap-down ≈ −250 pts
DXY	105.8, +0.5%	Negative (dollar strong)
US 10-yr	4.55%, +8 bps	Negative for growth/IT
Brent	$86, +2%	Negative (imported inflation, OMCs hit)
Gold (COMEX)	+0.9%	Confirms risk-off
USDINR	83.60 → 83.85	Rupee weak — FII-outflow risk

Read: unanimous risk-off. Every needle points the same way — this is a *high-conviction* defensive morning, not a mixed tape. Expected: Nifty gaps down ~250 pts toward 24,050; **IT and rate-sensitives** (β to US yields) lead the fall; **OMCs, paints, aviation** pressured by crude; exporters/IT get a *partial* rupee cushion but the yield/Nasdaq drag dominates.

Trade implication (bias, not a signal): on such a morning a pro does *not* buy the gap-down dip reflexively — the whole world is selling risk. If already long, they'd have hedged the prior evening (2 Nifty futures short on a ₹25 L book, per the hedging chapter). If flat, they wait for the cash open, watch whether 24,050 (GIFT-implied floor) holds on volume, and only then decide. Notice the *disagreement test*: had crude been *down* and DXY flat, the signal would be muddier and conviction lower.

Contrast — a **risk-on** morning: S&P +1%, DXY −0.3%, yields easing, USDINR firming to 83.30, GIFT Nifty +180. Bias: gap-up, banks/autos/metals lead; a pullback into the gap is a *higher-probability* long than on the risk-off day. Same chart pattern, opposite context, opposite conviction — that's the entire point of inter-market work.

How pros do it / common mistakes

How pros do it - Run a **fixed pre-open dashboard** (below) every single morning *before* looking at Indian charts — context first, chart second. - Look for **confluence**: when 6 of 8 signals agree, conviction is high; when they conflict, they size down or stand aside. - Map signals to **sectors**, not just the index: crude → OMC/aviation; US yields → IT; rupee → exporters vs importers. - Respect the **calendar** — flatten or hedge into FOMC/CPI/Budget; those days, macro trumps setups. - Know correlations **decay and invert** — they re-test them each quarter rather than trusting a textbook sign.

Common mistakes - Trading Nifty as if overnight global moves didn't happen — then getting run over by the gap. - Treating a single correlation as gospel (e.g., "weak rupee always sinks Nifty" — not when

IT/exporters lead). - Fighting a unanimous risk-off tape with a "dip-buy" reflex. - Ignoring the economic calendar and getting caught in an FOMC whipsaw. - Assuming crisis correlations hold — in a true panic, diversification and normal inverses fail; only cash/USD are safe.

Checklist / drill

Pre-open cross-asset dashboard (run daily, 8:45–9:10):

1. **US close** — S&P & Nasdaq %; tech-led or broad?
2. **GIFT/SGX Nifty** — implied gap vs prev close?
3. **DXY & USDINR** — dollar strong/weak; rupee direction?
4. **Brent crude** — level and % move (sector read: OMC/aviation)?
5. **US 10-yr yield** — up/down (IT/growth read)?
6. **Gold** — confirming risk-on/off?
7. **FII/DII flows** — prior day net cash & F&O?
8. **Calendar** — any Fed/RBI/CPI/Budget event today?

Verdict: count agree-vs-disagree signals → **risk-on / risk-off / mixed** → set today's bias and conviction size.

Drill (10 sessions): Each morning fill the 8-row dashboard, write a one-line verdict and expected Nifty direction *before* the open. After the close, mark whether the day matched. You'll learn which signals lead reliably (GIFT Nifty, US close) and which are noisy — and you'll stop trading Indian equities as if they were an island.

Inter-market relationships and event dates current as of 2026 and regime-dependent — verify on NSE / RBI / Fed / exchange calendars; correlations change.